The hard part is discipline, patience, and judgement.
Seth Klarman

January 22, 2019

Dear Partner,

Happy New Year! We hope you and your family had an enjoyable holiday season. For the quarter ended December 31, 2018, the fund was down -13.50%, versus -13.44% for the benchmark index, MSCI ACWI.

The fourth quarter was our first full quarter of operation. We were busy building our portfolio, our network of contributing managers, and our investment methodology. The below table is a breakdown of our portfolio and managers. As you can see, two thirds of the portfolio ideas and AUM came from myself and Michael Bridge, who is CEO for our parent company and advisor to Willow Oak Select Fund, LP. As we build our group of contributing managers and the idea submission process, we expect this ratio to flip, with the majority of our investments consisting of ideas submitted by our external managers. More fully leveraging our talented and growing group of contributing managers provides our fund with additional diversification (in both number of holdings and investment style) and widens our circle of competence. These advantages enhance our ability to outperform the market over the long term.

Contributing Managers	Date Joined WOSF	Portfolio Ideas	Equity AUM %
External #1	August-18	1	2.9%
External #2	August-18	2	8.5%
External #3	August-18	2	11.2%
External #4	August-18	0	0.0%
External #5	September-18	1	6.2%
External #6	September-18	1	3.7%
External #7	December-18	0	0.0%
Portfolio Manager	August-18	6	41.1%
Portfolio Advisor	August-18	7	26.4%
Totals		**20**	**100.0%**

In the fourth quarter, we had our first externally submitted idea success: Belmond Limited (NYSE: BEL). Thomas Braziel, cofounder and CIO of High Five Capital (aka External Manager #5), submitted Belmond to us in September. Thomas is a very talented, up-and-coming portfolio manager who works part of the year out of our New York City office. Prior to cofounding High Five Capital, he founded and ran B.E. Capital for seven years. Both are firms that focus on special situation and distressed investment opportunities. He currently serves as the co-chairman of Winland Electronics (OTC: WELX), the chairman of the Unsecured Creditors Committee of Premier Exhibitions (OTC: PRXIQ), and the Delaware court-appointed receiver of Fund.com Inc. (OTC: FNDM). He has a master's degree in the mathematics of finance from Columbia University, and a BS and BA in math and economics from New York University. In other words, he's no slouch!

Willow Oak
SELECT FUND

Thomas's original investment write-up for Belmond is set forth in Attachment A. As we have previously explained, the Select Fund portfolio can generally be divided into two categories: long-term compounders and shorter-term special situations. Belmond was the perfect example of the latter. As Thomas's write-up explains, there was a strong possibility of a short-term catalyst in the form of Belmond being acquired. Belmond's founder had a large, short-term incentive to advocate for a sale of Belmond. Belmond's primary assets are world-class hotels, mostly in Europe. These trophy assets had a murky upside but provided a fairly stable downside. We love special situations that have this asymmetric risk/reward profile. We liked the submitted idea immediately. We only wish we had sized it up even more. The idea played out exactly as Thomas had theorized when Belmond announced its sale to luxury brand company LMVH (think Louis Vuitton) for a 40% premium. However, we did buy enough to enable us to weather the worse December for the market since 1931 with a much smaller loss than the overall market.

Looking forward to 2019, we believe our 20-position portfolio is structured far better than the market as a whole. Our investments grade high according to our four-part investment scorecard. Superior businesses that are well run, well capitalized, and reasonably priced will do far better than the market over the long run. These businesses are also poised to take advantage of turbulent market conditions such as those in the fourth quarter. We can't predict the near-term future, but continued geopolitical and economic volatility certainly seem more likely than a placid environment in the new year.

Best regards,

Rodney E. Lake
Portfolio Manager

ATTACHMENT A

Belmond Limited: When Bad Corporate Governance Leads to a Great Investment

Thomas Braziel, B.E. Capital Management, Managing Partner

Executive Summary: Belmond, Ltd. is a consortium of luxury hotels spanning Europe, Asia, Africa, and the Americas, luxury train services, riverboat cruises, and a New York restaurant built by business titan James Sherwood. Belmond has historically been a value trap which traded significantly below the retail price of its assets due to certain rights of Sherwood which prevented a sale. Recently, Belmond announced they were purchasing these rights and subsequently were seeking strategic alternatives.

Value Trapped:

Belmond Limited (NYSE: BEL) is a luxury service conglomerate consisting of hotels across five continents, luxury train services, and river cruises. The company is widely known and followed in the value investing community where it has been a value trap for over ten years. The company founder, James Sherwood, is a creative businessman with real vision and a nose for opportunity. He founded one of the earliest ship container leasing companies (Sea Containers) and built the Orient-Express Group (now Belmond). Belmond began with Sherwood's 1976 purchase of the Hotel Cipriani in Venice for a mere £900,000 from the Guinness sisters. The hotel Cipriani is now a single hotel within an incredible group of luxury Italian hotels at Belmond, which generates roughly 40% EBITDA margins. The Hotel Cipriani itself is currently worth between $600M to $1B.

Although James Sherwood plays a role in why this investment opportunity exists, it is interesting to note that Sherwood is a business icon in his own right. Anyone looking for a great biography on business, identifying opportunities, closing complicated deals, and even general investment philosophy (told through the lens of purchasing hotels over the years) should check out Mr. Sherwood's autobiography "Orient Express: A Personal Journey." This intriguing read walks through almost all of Sherwood's hotel acquisitions, the logic behind the deals, and the post-mortem on why some hotel investments worked out and others did not.

So needless to say, Belmond is an absolutely breathtaking group of hotels, with best-in-class EBITDA margins and RevPAR. So why hasn't the stock moved in a decade? Well, some would say they have been poorly managed; some would say poor corporate governance; and lastly, some would say simply a lack of scale in the changing world of big hotel groups with large marketing budgets. Normally, in such a situation, an efficient, large-scale hotel operator could pay a significant premium to the public price of the company and modernize the operations of the properties. It could then fit the hotels into an existing brand and leverage their large networks for booking and reward points. Yet, this never materialized at Belmond. As will be shown, the reason lay with certain corporate covenants between Belmond and Sherwood.

The Power of 8-Ks:

Recently, a curious little 8-K changed everything. This 8-K discussed the company's purchase of Sherwood's right of first refusal on a sale of Hotel Cipriani and his option to purchase the hotel at fair value in the event of a change in control of Belmond. These two rights had effectively acted as a poison pill which prevented any company from purchasing Belmond outright, or the sale of any hotels. These rights would nullify in the event that Sherwood passed away. At an age of 85 years, Sherwood realized that the only way to realize any value for the rights would be to sell them back to the company. Unsurprisingly, after only a few weeks, the company announced that they would review strategic alternatives.

Variant Perception:

Without going further into the history of the company or an itemized list of assets and their value, it suffices to simply highlight what the market is missing:

1. Sleeping Assets: In addition to the hotel group, which values Belmond at anywhere between \$15-\$20 a share using a traditional 15-20x EBITDA multiple, Belmond owns the 21 Club in New York and the Cipriani trademark within the UK and European Union. Both are sleeping assets within the company that could be unlocked by the right operator with deep pockets (hint to Barry Sternlicht at Starwood!). Roland Vos, a Starwood protégé, already runs Belmond as CEO. Each brand has fantastic potential to be thoughtfully expanded; for example, additional hotels, further restaurants, or food and beverage concepts, etc. The 21 Club has such loyal patrons that Bloomberg figured they needed to pen an article about it potentially changing hands. It is difficult to quantify the value added by these sleeping assets, but they are real and should lead to higher valuations and more robust bidding.

2. The "Sheik Appeal": While many of the leading real estate and hotel brands (Starwood, Colony, Marriott, etc.) would bid \$15-\$20 per share for the company's assets (Deutsche Bank suggests \$17 per share), these numbers miss the point. While the risk/reward of buying something for \$16, and getting between \$15 and \$20 back seems good, you actually get something much better: **the unbounded optionality of every sheik, oligarch, despot, and nouveau riche bidding for the opportunity to purchase the world's premier and trophy hotel properties**. Frankly, many can borrow most of the capital needed to purchase them (see the same article for reference to a 2007 offer of \$60 a share from a Dubai investment group as an example).

Poor Corporate Governance:

Although there is potential significant upside in a sale of the company—especially to an ultra-wealthy purchaser more concerned about status than economics—and little downside based on where the stock is currently trading, there is a timing risk. It is always the case that a deal could take significantly longer than expected to materialize, or that the company could get cold feet. All "reviewing strategic alternatives" investment ideas suffer from this risk.

In this case, the 8-K that announced the sale of the rights also mentioned that Sherwood gets additional payments if a deal is closed within ten years (\$10M - \$1M x number of years waiting) and an additional payment of $15M (for a total of $25M) if the deal is announced within six months. In Belmond's case, the board of directors, while not containing Sherwood himself, is basically stacked with friends of the founder. Therefore, we expect a quick sale of the company and a maximum payment of cash to Sherwood.

Risks:

Every investment situation has risks. In an event-driven situation, the main risks center around the failure of the corporate event that acts as a catalyst. In the case of Belmond, possible risks include:

- A deal is not announced within the six-month time frame that causes maximum payout to Sherwood. A maximum payout for Sherwood gives the quickest turnaround for shareholders and an improved annualized return.
- The maximum valuation for Belmond comes from a non-economical, "status" buyer. If such a buyer fails to materialize, an economic buyer will pay a lower price. The return in this scenario is attractive, nonetheless.
- Failure of a buyer to purchase smaller assets, such as 21 Club. It is feasible that a potential transaction could arise as an asset sale of specific assets, which would likely result in a lower return.
- Due diligence finds the properties to be in a state of unanticipated disrepair.
- If a buyer fails to realize in a material amount of time (for example, one year), it is likely that the stock price will fall to the pre-strategic review price of $11 per share.

Conclusion:

Belmond possesses one-of-a-kind hotel properties and, in some cases, irreplaceable assets. These, plus the dormant assets, could fetch a price in the range of $18-$20 per share in a sale to a global hotel brand and operator.

The real story, however, is the almost unbounded optionality of the "sheikh appeal." This option could fetch a significantly higher price—possibly in the $20-$30 per share range.

Lastly, the Sherwood-friendly board means that a deal is extremely likely to be announced in the next five months that triggers the $25M payment to Sherwood. In my book, this is a great setup.

Disclosure: We are long the equity and options of Belmond.